



Margin Risk

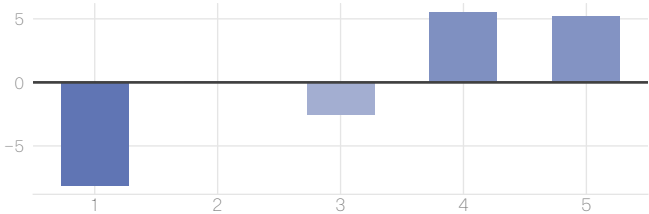
Crowded, highly-leveraged long positions get washed out by cascading liquidations – a structural drag that the factor systematically shorts.

The factor capitalises on the tendency of assets with higher at-risk-of-liquidation positions to underperform less leveraged assets.

Margin Risk predicts positions vulnerable to forced closure at 1%, 2%, 5% and 10% deviations from the current price. Data is aggregated from the top 10 most reputable exchanges.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques employed to keep it both stable and relevant, as well as survivorship-bias free.

MEAN FORWARD RETURN BY QUANTILE • 1D (BPS)



To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The factor is available (point-in-time) with hourly updates, 5 minutes past the hour (UTC).

EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

[Download Returns \(CSV\)](#) →

PERFORMANCE

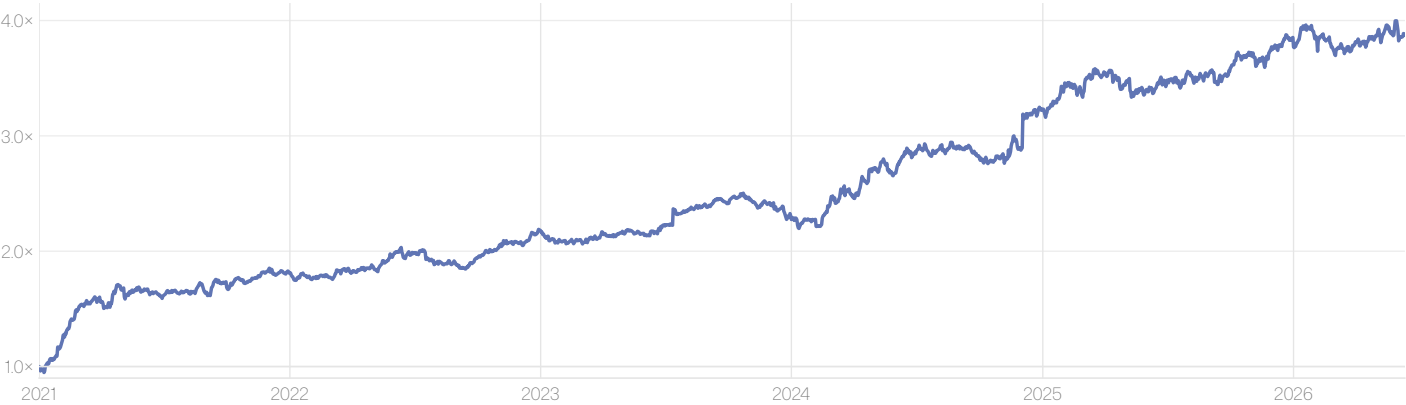
Report Period Start Date Jan 2021 • End Date Jun 2026

Gross Rate of Return					Annual Performance (%)						Since Inception
1M	3M	1Y	3Y	5Y	2021	2022	2023	2024	2025	YTD	SI
-0.7%	3.1%	14.4%	78.0%	136.3%	81.0%	20.5%	5.7%	40.2%	19.2%	0.5%	287.2%

RISK & RETURN PROFILE

Realised Volatility (annualised)				Return-to-Risk Ratio				Max Drawdown	
1M	3M	1Y	3Y	1M	3M	1Y	3Y	%	Date
14.7%	11.9%	12.0%	14.4%	-0.05	0.26	1.20	5.43	-12.2%	2024-01-12

CUMULATIVE RETURN



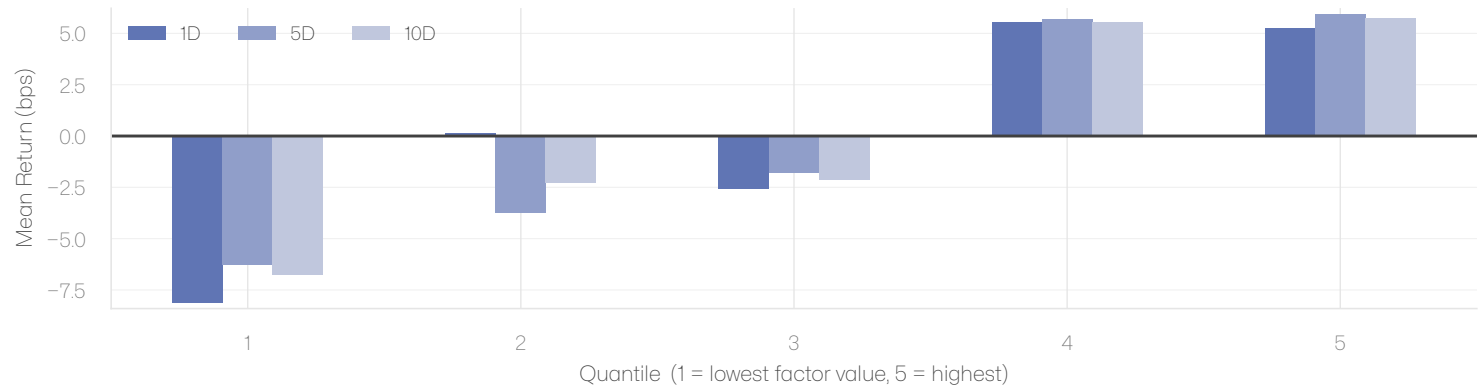
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Factor Analysis

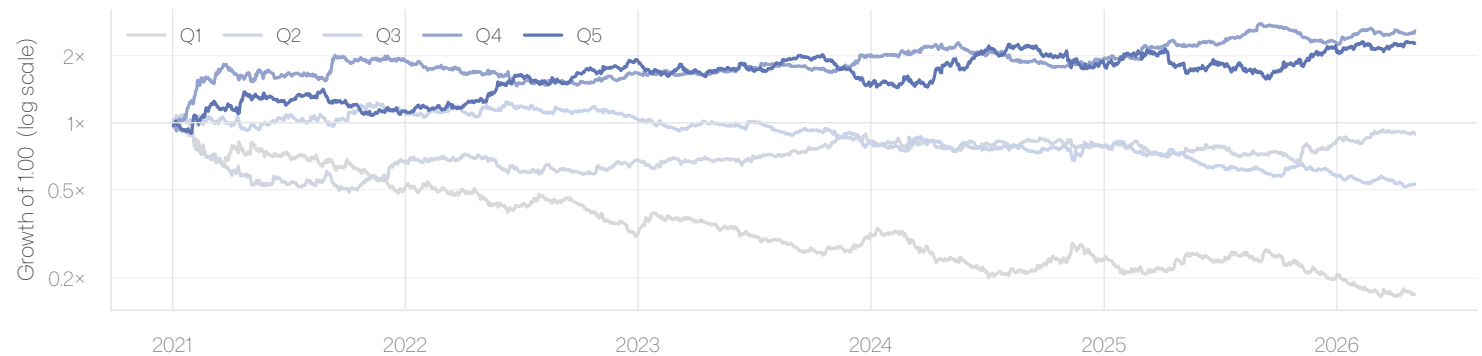
[Download Factor Data \(CSV\)](#) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

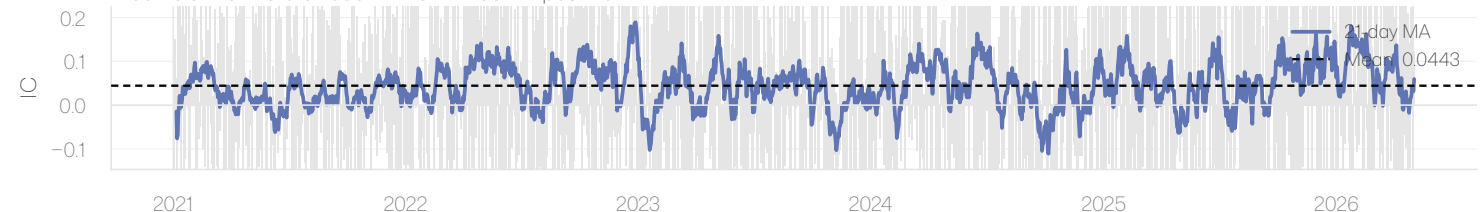


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0443 • Std 0.2666 • IR 0.17 • 56.4% positive • 1D



ABOUT APERIODIC FACTORS

Aperiodic Factors publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – built for systematic research and backtesting. Full catalog, methodology and API at factors.aperiodic.io; see the materials below.

[View this factor on factors.aperiodic.io](#) →

[Replication notebook – full AlphaLens analysis](#) →

Have further questions? Book a call with our team – factors.aperiodic.io/booking

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